

giving up by not owning the good stuff. Say cash earns 1% and stocks return 10% a year. That 9% gap will gnaw at you every day.

But if that cash prevents you from having to sell your stocks during a bear market, the actual return you earned on that cash is not 1% a year—it could be many multiples of that, because preventing one desperate, ill-timed stock sale can do more for your lifetime returns than picking dozens of big-time winners.

Compounding doesn't rely on earning big returns. Merely good returns sustained uninterrupted for the longest period of time—especially in times of chaos and havoc—will always win.

2. Planning is important, but the most important part of every plan is to plan on the plan not going according to plan.

What's the saying? You plan, God laughs. Financial and investment planning are critical, because they let you know whether your current actions are within the realm of reasonable. But few plans of any kind survive their first encounter with the real world. If you're projecting your income, savings rate, and market returns over the next 20 years, think about all the big stuff that's happened in the last 20 years that no one could have foreseen: September 11th, a housing boom and bust that caused nearly 10 million Americans to lose their homes, a financial crisis that caused almost nine million to lose their jobs, a record-breaking stock-market rally that ensued, and a coronavirus that shakes the world as I write this.

A plan is only useful if it can survive reality. And a future filled with unknowns is everyone's reality.

A good plan doesn't pretend this weren't true; it embraces it and emphasizes room for error. The more you need specific elements of a plan to be true, the more fragile your financial life becomes. If there's enough room for error in your savings rate that you can say, "It'd be great if the market returns 8% a year over the next 30 years, but if it only does 4% a year I'll still be OK," the more valuable your plan becomes.

Many bets fail not because they were wrong, but because they were mostly right in a situation that required things to be exactly right. Room for